WEEK 2 · LECTURE L1 OF 3 · UNIT I

# Drivers of Digital Transformation

Why now? The forces that make transformation unavoidable, and what they do to the HR function.

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**Part 1** Technological, economic, workforce and competitive drivers

**Part 2** Industry 4.0 and the evolving role of HR

**Part 3** Applying the drivers to GreenLeaf

**Read** Westerman et al. (2014), Chapters 1 and 2; Scully-Russ and Torraco (2020), pp. 73 to 77

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THE IDEA THAT RUNS THROUGH ALL THREE HOURS

# Technology adoption is not maturity.

Maturity is the organizational capability to make technology deliver —

and it is never evenly distributed inside a firm.

*We will return to this three times today: once per hour.*

HOUR ONE

# Drivers of Digital Transformation

0:00 Quiz 1 · 0:12 The four driver families · 0:30 HR's evolving role · 0:50 GreenLeaf

OPENING QUESTION

# GreenLeaf has run on paper for eleven years and made money doing it.

Nobody can name a single day on which paper stopped working.

## So — why now?

*What changed outside GreenLeaf that makes the paper suddenly intolerable?*

THE DISTINCTION THAT GOVERNS THE HOUR

# A technology is not a driver

DRIVER

**A force that changes the cost of not acting.**

TECHNOLOGY

**The means by which acting becomes possible.**

**Cloud computing did not force GreenLeaf's hand.**

What forced it was that a competitor's time-to-hire fell to twelve days while GreenLeaf's stayed at forty-seven.

0:12 – 0:30

# Four families of driver

## 01 Technological

*Falling cost, rising reach*

SaaS over capex · APIs · mobile penetration · India Stack

## 02 Economic

*People costs became visible*

Attrition as a cost line · time-to-hire as lost revenue

## 03 Workforce

*Composition and expectation*

Gig growth · consumer-grade UX · skills half-life · dispersion

## 04 Competitive & regulatory

*Obligations that do not wait*

Employer brand · DPDP 2023 · Social Security Code · peer mimicry

DRIVER 01

# Technological — falling cost, rising reach

**Capex to opex.** SaaS removes the capital hurdle that kept mid-size Indian firms out.

**The API economy.** Point solutions become composable rather than islands.

**Mobile and data costs.** For the first time the frontline is technically reachable.

**Public digital infrastructure.** India Stack, Aadhaar verification, DigiLocker, e-sign — identity and document checks at near-zero marginal cost. No Western framework anticipates this.

GREENLEAF TRACE

**31%**

hold a company email address

**92%**

carry a personal smartphone

*The constraint that made the frontline unreachable has quietly expired. The systems have not noticed.*

DRIVER 02

# Economic — people costs became contestable

**38%**

**store attrition**

A replacement cost the CFO can compute

**47**

**days to hire, frontline**

Unfilled floors during the revenue that pays for the year

**8,000**

**employees on paper**

An administration cost curve that scales with headcount

**The moment an HR problem acquires a rupee figure, it stops being an HR problem and becomes a Board problem.**

DRIVER 03

# Workforce — composition, expectation, skills, distribution

| | |
|---|---|
| **Composition** | Contingent, platform and gig labor grows. GreenLeaf's last-mile network exemplifies it; its Employee_Master does not recognize it. |
| **Expectation** | Employees who book cabs, order food and file taxes on a phone will not accept a two-day paper leave approval. The benchmark is now consumer apps, not other employers. |
| **Skills half-life** | Reskilling is continuous, not episodic — Scully-Russ's core claim. Learning infrastructure becomes strategic rather than administrative. |
| **Distribution** | Hybrid and dispersed work removes the physical co-presence that made informal HR possible. |

ANCHOR

## GL-1002
## Arjun Joshi

Appears in both Gig_Workforce and Employee_Master. One person, two records, never to be joined statistically.

*Not a data error — a workforce whose shape the architecture was never built to hold.*

DRIVER 04

# Competitive, regulatory and institutional

## Competitive

Talent markets are transparent. Employer brand, review platforms and referral velocity turn a bad candidate experience into a market signal.

## Regulatory

DPDP Act 2023 makes employee data a compliance surface with consent obligations. Code on Social Security 2020 and state gig legislation attach duties to platform labor.

## Institutional

Peers adopt. Vendors sell. Boards read the same three consultancies. The least respectable driver — and often the most powerful.

**Regulation is the one driver that does not care whether you are ready.**

0:27 – 0:30

# What each family actually does

| | |
|---|---|
| **Technological** | *makes it possible* |
| **Economic** | *makes it worth it* |
| **Workforce** | *makes it necessary* |
| **Competitive & regulatory** | *makes it urgent* |

**Which is GreenLeaf's Board responding to?**

**The fourth.**

Institutional, not economic.

**The transformation begins from a weak driver. Your pod must build the economic case yourselves.**

# Schwab's three claims, translated into HR

| | |
|---|---|
| **Velocity**<br>*Exponential, not linear* | Multi-year HR system programs are obsolete on delivery. Sequence in short cycles with measurable checkpoints — exactly what R2 and R3 will force. |
| **Breadth & depth**<br>*Changes what we do and who we are* | Work identity, not just work process, is in play. Sunil Mehta is not resisting a system; he is defending a self-description built over eighteen years. |
| **Systems impact**<br>*Whole systems transform* | You cannot digitize recruitment alone. Change the funnel and you change workforce composition, learning load, and eventually the employment relationship. |

*A caution: Schwab is a framing document produced by an institution with an interest in the framing. Manuti & de Palma are the corrective — technology arrives inside power relations.*

0:38 – 0:45

# Where the HR function is going

*These positions accumulate — they do not replace one another.*

1

## Administrative custodian

Records, compliance, payroll

Value: accuracy

2

## Service provider

SLAs, shared services, query resolution

**Value: efficiency**

3

## Business partner

Workforce planning aligned to the business

**Value: relevance**

4

## Digital change agent

Owns the operating model, the data, and the arbitration

**Value: judgment**

***GreenLeaf is here***

**You are not learning these systems to operate them. You are learning them so that when a vendor, a CFO and an algorithm are in the room, HR is not the least informed party present.**

0:45 – 0:50

# Four capabilities — and where the course builds each

## Data literacy

Reading evidence, resisting bad inference

**Week 3 · Quiz 2**

## Technology judgment

Evaluating architecture without being an architect

**Weeks 4–6 · R2**

## Algorithmic scrutiny

Auditing what the model actually does

**Weeks 7–9 · R4**

## Change & worker voice

Carrying people, not just systems

**Weeks 5–6, 10–11 · R3, R6**

*All four are capabilities. None is a tool. That distinction is exactly what maturity models were built to measure — which is the next hour.*

0:50 – 1:00 · IN PAIRS

# Rank the four driver families by their force on GreenLeaf specifically.

- Strongest to weakest. All four ranked.
- You must cite one fact from the GreenLeaf pack for your top-ranked driver.
- Two minutes of argument. Then write the ranking down.
- I will take four pairs — and I will not tell you who is right.

*Where pairs disagree, name the fact that would settle it.*

*Often no such fact exists in the pack. That is the finding.*

# Going deeper: the theory underneath the drivers

The next slides set out the TOE framework, institutional isomorphism, the resource-based view and Ulrich's HR roles: what each claims, how it works, where it breaks, and what it means at GreenLeaf.

THEORY IN DEPTH · TORNATZKY AND FLEISCHER (1990)

# Adoption depends on technology, organization and environment

### THE CORE IDEA

The TOE framework explains why firms adopt new technology by looking at three contexts together.

### HOW IT WORKS

Technology: what is available and fits. Organization: size, slack, skills. Environment: competitors, regulators, partners.

### LIMITS AND CRITIQUE

A broad checklist rather than a precise theory; it names factors but not their weights.

**AT GREENLEAF**

GreenLeaf has the technology (India Stack, mobile) and environmental pressure (DPDP), but its organization lacks skills.

THEORY IN DEPTH · DIMAGGIO AND POWELL (1983)

# Firms copy each other to look legitimate

### THE CORE IDEA

Institutional isomorphism: organizations become alike, not only for efficiency but for legitimacy.

### HOW IT WORKS

Coercive (laws, regulators), mimetic (copying peers under uncertainty), normative (professional standards).

### LIMITS AND CRITIQUE

It explains similarity well, but less well why some firms resist or innovate.

**AT GREENLEAF**

The Board's question compares GreenLeaf with digital peers: a mimetic driver. The DPDP Act is coercive.

THEORY IN DEPTH · BARNEY (1991)

# Advantage comes from resources rivals cannot copy

### THE CORE IDEA

The resource-based view: lasting advantage needs resources that are valuable, rare, inimitable and non-substitutable.

### HOW IT WORKS

Software anyone can buy is not rare. Advantage lies in how people, data and processes are combined.

### LIMITS AND CRITIQUE

Critics call it hard to test, since rare resources are defined after the success.

**AT GREENLEAF**

Buying PeopleCloud gives no advantage. Clean data and a workforce able to use it might.

THEORY IN DEPTH · ULRICH (1997)

# HR plays four roles, and the change agent role is the hardest

### THE CORE IDEA

HR can be an administrative expert, employee champion, strategic partner and change agent.

### HOW IT WORKS

Roles cross two axes: process or people, and day-to-day or future-focused.

### LIMITS AND CRITIQUE

Later work warned that chasing strategic roles can neglect employee advocacy.

**AT GREENLEAF**

Digital HR frees time from administration only if HR then takes up the strategic and change roles.